Undue Influence

English contract law | Study guide | Consent, proof and setting aside a transaction

English equity allows a person to challenge a transaction if another person improperly used their influence to obtain that person's consent. The court examines how the decision was made. A person may understand what they are signing and still be acting under undue influence.

1. Distinguish undue influence from duress

Undue influence may involve overt pressure or exploitation of trust or dependence. Economic duress focuses on illegitimate pressure that induced the agreement when the person subjected to it had no reasonable alternative. The doctrines can overlap when pressure is explicit.

2. Actual undue influence | Prove what happened

Identify the conduct and show how it procured the agreement. Messages, witness accounts and the timing of a change of mind can all help. The claimant must prove the case on the balance of probabilities. Under *CIBC Mortgages v Pitt*, even an agreement on fair terms may be set aside if undue influence is proved.

3. Presumed undue influence | Draw an inference

The court can infer abuse from a relationship of trust and confidence and a transaction that calls for explanation. A substantial transfer to someone entrusted with the transferor's finances may warrant scrutiny. Once the inference arises, the other party can answer it with evidence of a free decision. The overall burden of proof remains with the claimant.

4. Identify the remedy

A transaction procured by undue influence is generally voidable. Setting it aside can involve returning property or money. Affirmation after the influence has ceased or delay in seeking relief may affect the remedy. If a lender or other third party has acquired rights, consider its position as well.

> Legal English | **To procure consent** means to obtain it through the conduct in question. **To set aside** is the verb used for undoing the legal effect of the transaction.

What the Leading Cases Establish

Etridge (No 2) (2001) | How consent was obtained

The House of Lords heard eight appeals about security given by wives for their husbands' or their husbands' companies' debts. Seven concerned enforcement by a bank. The eighth concerned a claim for damages against a solicitor. Lord Nicholls explained how overt pressure and abuse of an existing relationship can each undermine consent. He set out how the court can infer undue influence from the surrounding circumstances.

Pitt (1993) | Disadvantage and the lender's rights

Mr Pitt unduly influenced his wife into signing a mortgage. The House of Lords held that proof of manifest disadvantage was unnecessary where undue influence was established. On the facts known to the lender, the loan appeared to be joint borrowing for a joint purpose. The lender was entitled to enforce its security.

Etridge | When the bank is put on inquiry

A lender must take reasonable protective steps when the proposed transaction shows that someone is providing security for another person's debt in a non-commercial relationship. In the usual case, these steps include contact with the person giving security and written confirmation that a solicitor has explained the transaction and its risks. The adequacy of the lender's steps and whether consent was actually procured by undue influence are distinct questions.

Allcard v Skinner (1887) | Delay can defeat relief

A member of a religious sisterhood made substantial gifts while subject to its rules of obedience. The Court of Appeal recognised grounds for setting the gifts aside. Her claim failed because she waited years to act after leaving the sisterhood and obtaining legal advice.

> Exam method | Identify the route to proving undue influence, state the evidence that supports it, and explain whether the remedy can be obtained against the party in question.

Worked Problem and Authorities

The sale of a studio’s equipment

Ruth is retiring. For years she has left the accounts, supplier payments and leases for her photography studio to her manager, Ben. On his recommendation she sells him the studio equipment for £8,000. An independent valuation from a month earlier puts its value at £48,000. She signed at a meeting with Ben and had no independent advice. Can Ruth seek to set aside the sale?

Model analysis

Relationship. The records of the work Ruth entrusted to Ben support a finding of trust and confidence in financial matters. Ben’s job title alone tells the court little about the extent of her reliance.

Transaction and inference. The scale of the discount and the fact that Ben benefited call for explanation. Ruth’s wish to retire could explain a quick sale. The court would still examine why the price was so low and whether Ruth had made an independent choice. If Ben offers no satisfactory explanation, the court may infer undue influence.

Remedy. If the sale is set aside, consider how to return the equipment to Ruth and the £8,000 to Ben. Check whether the equipment remains with Ben and whether Ruth affirmed the sale after his influence ceased.

> Variation | Ben sent Ruth a message just before the meeting threatening to lock her out of the studio unless she signed that day. The message and its timing support a case of actual undue influence. Ask how Ruth responded and whether the threat procured the signature.

Selected authorities

Royal Bank of Scotland plc v Etridge (No 2) [2001] UKHL 44 | Consent and proof

CIBC Mortgages plc v Pitt [1994] 1 AC 200 | Disadvantage and notice

Allcard v Skinner (1887) 36 Ch D 145 | Delay and relief

Pakistan International Airline Corp v Times Travel (UK) Ltd [2021] UKSC 40 | Economic duress